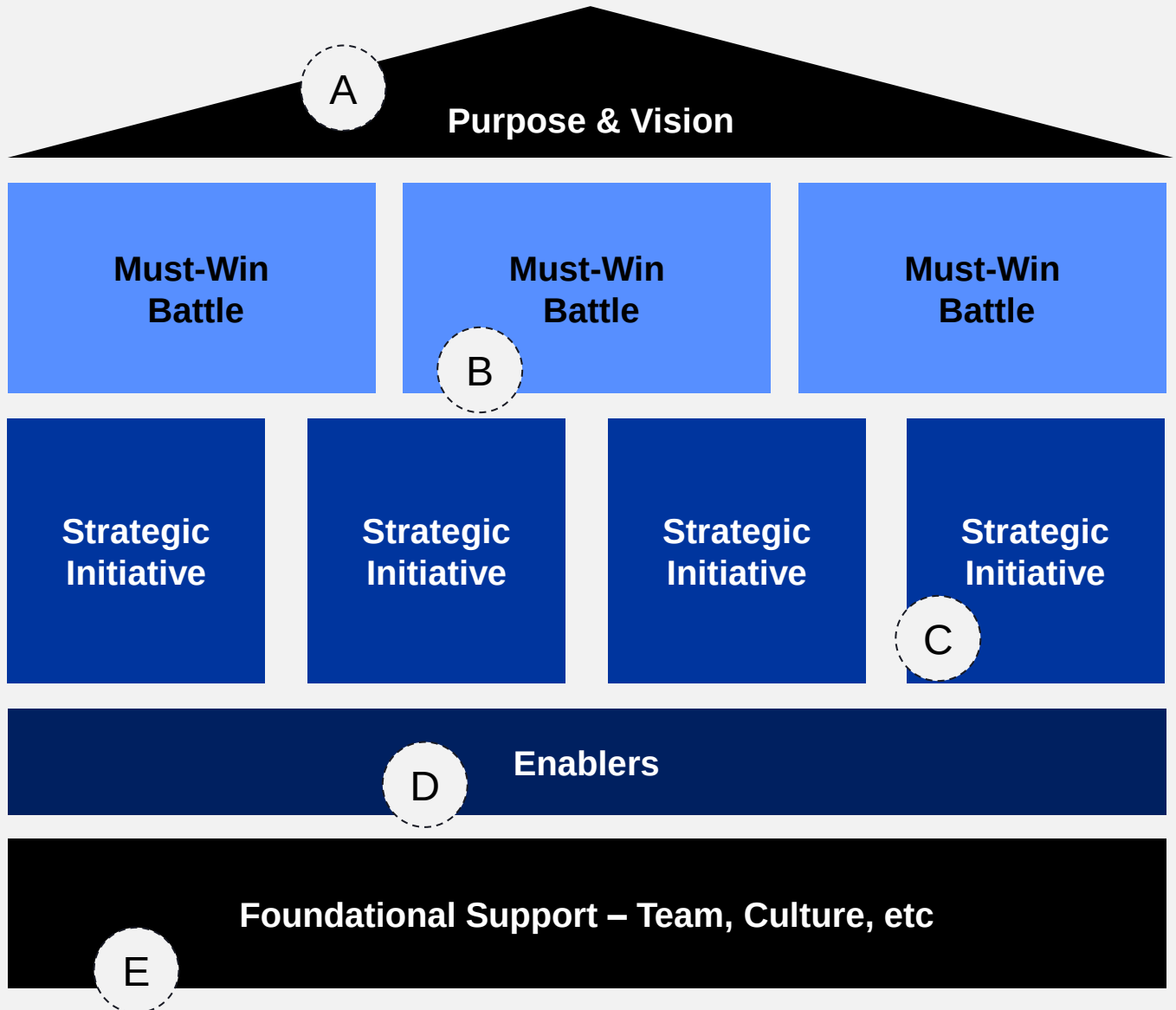


McKinsey & BCG “Strategy House”



- A – What is our reason for being and where do we want to be in 10 years?
- B – Strategic choices and where we want to play and do vs not do
- C – Specific initiatives that help us win our battles and achieve our vision
- D – Capabilities we need to have in place to accomplish our strategic initiatives
- E – The foundation of team and culture etc. we need to support everything

The Balanced Scorecard Strategy Framework

Financial



“What do our investors think of us?”

- | | |
|---|---|
| ☐ Revenue and Growth | ☐ Capital Expenditures |
| ☐ Expenses | ☐ Cash Flow |
| ☐ Margins | ☐ Assets |
| ☐ Profits | ☐ Liabilities |

Customer



“What do our customers think of us?”

- | | |
|---|--|
| ☐ Customer Satisfaction | ☐ Refund Rate |
| ☐ Net Promotor Score (NPS) | ☐ Market Share |
| ☐ Testimonials | ☐ Brand Recognition |

Process



“What do we need to be good at?”

- | | |
|---|--|
| ☐ Inventory | ☐ Quality Control |
| ☐ Orders | ☐ Supply Chain Management |
| ☐ Production Rate | ☐ Procurement |
| ☐ Resources Allocation | ☐ Sales, Marketing |

Innovation

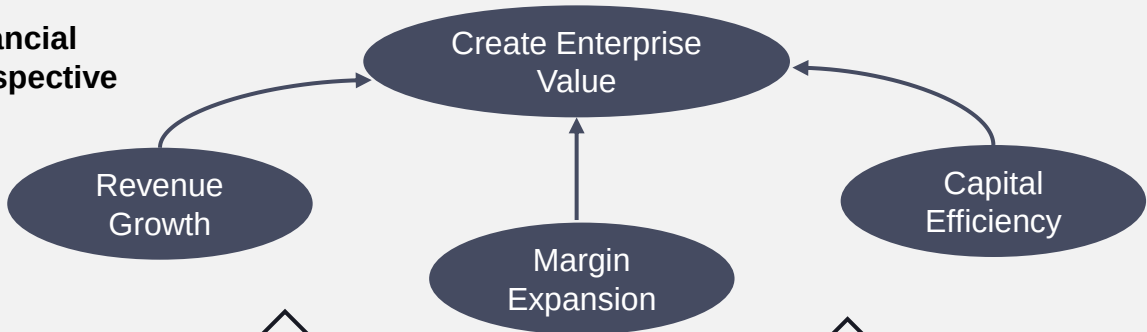


“How do we improve and perform better?”

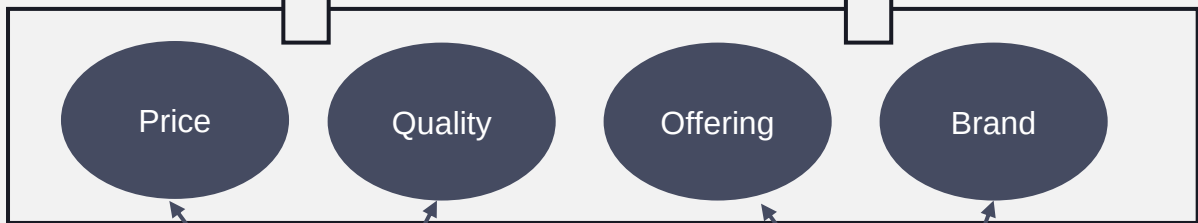
- | | |
|--|---|
| ☐ Employee Satisfaction | ☐ Process Improvement |
| ☐ Employee Retention | ☐ Use of Technology |
| ☐ New Product Development | ☐ Education and Training |

Strategy Map

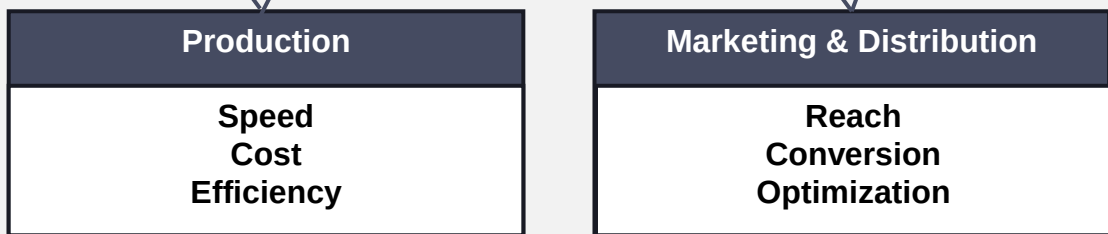
Financial Perspective



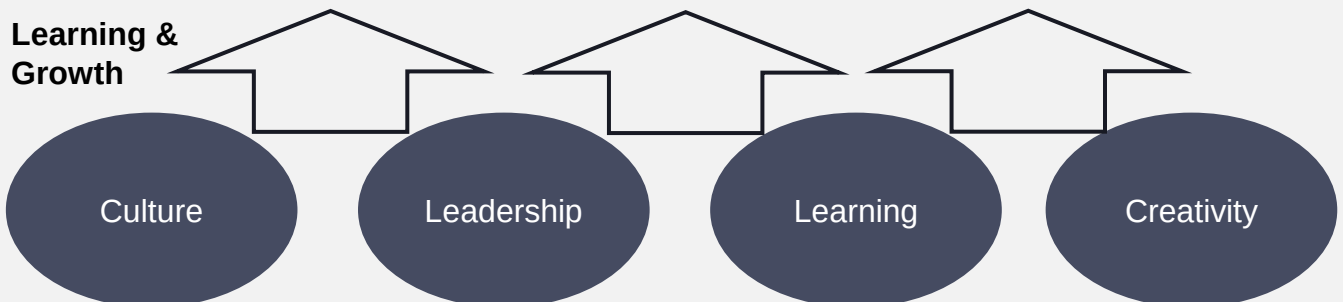
Customer Perspective



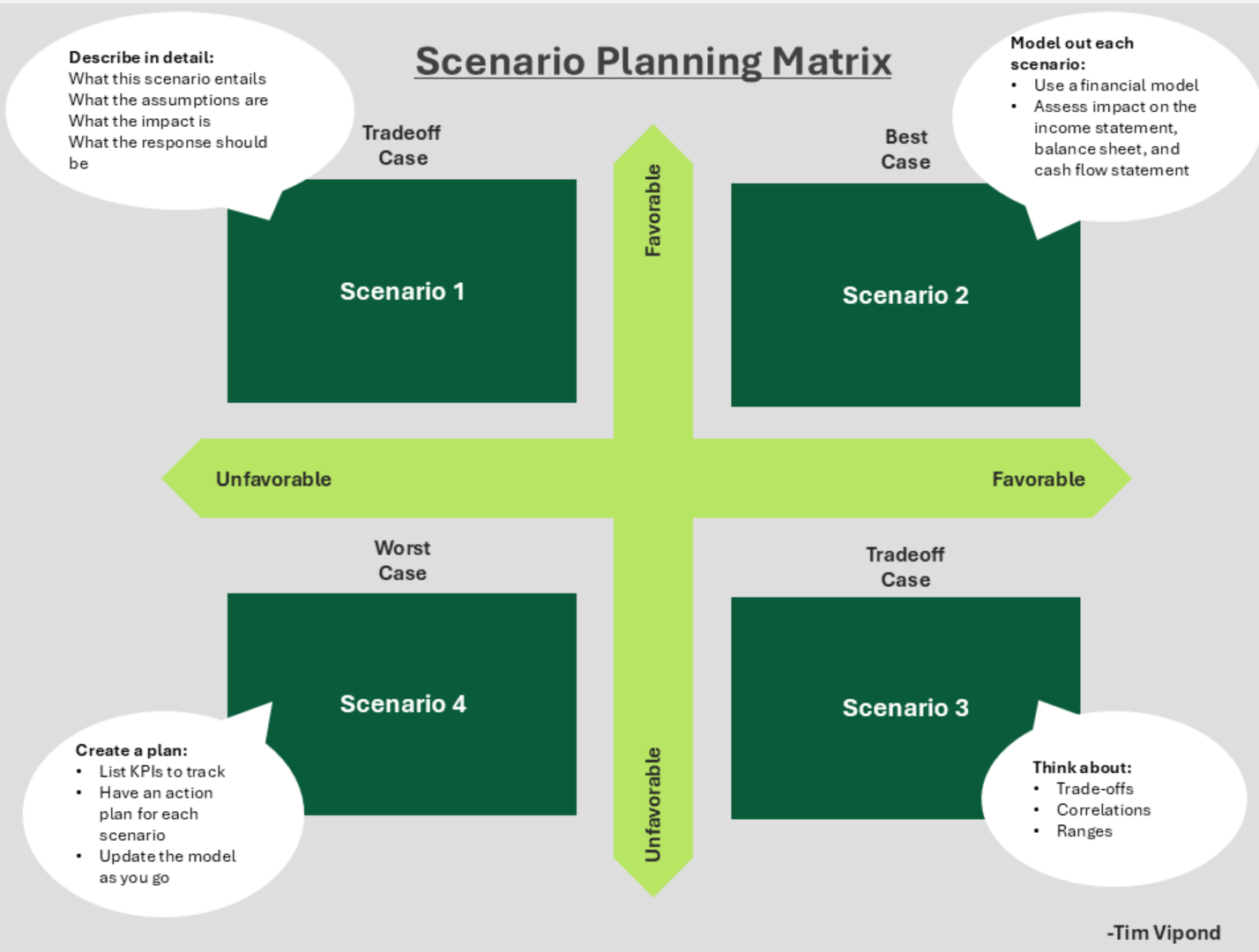
Internal Perspective



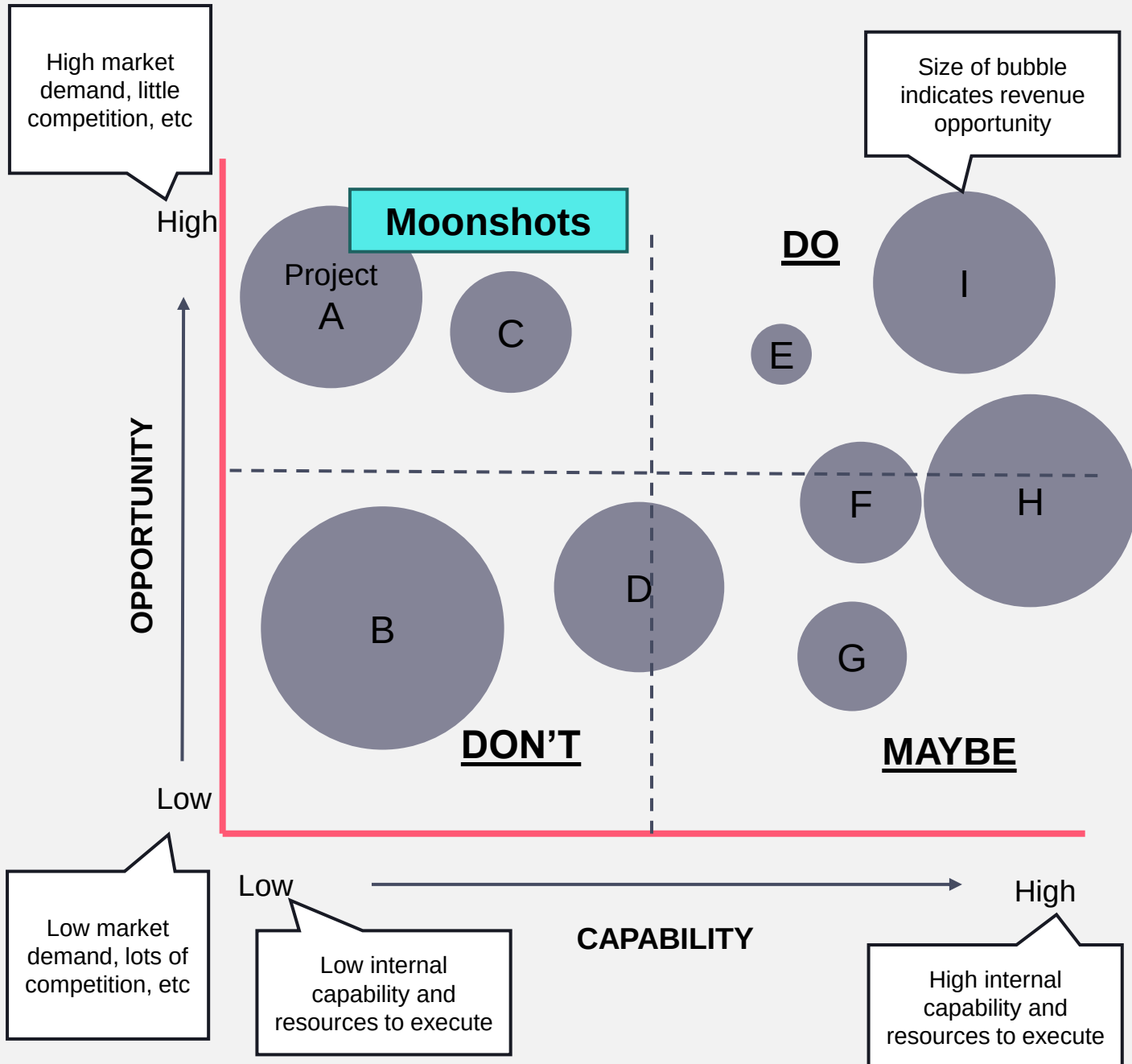
Learning & Growth



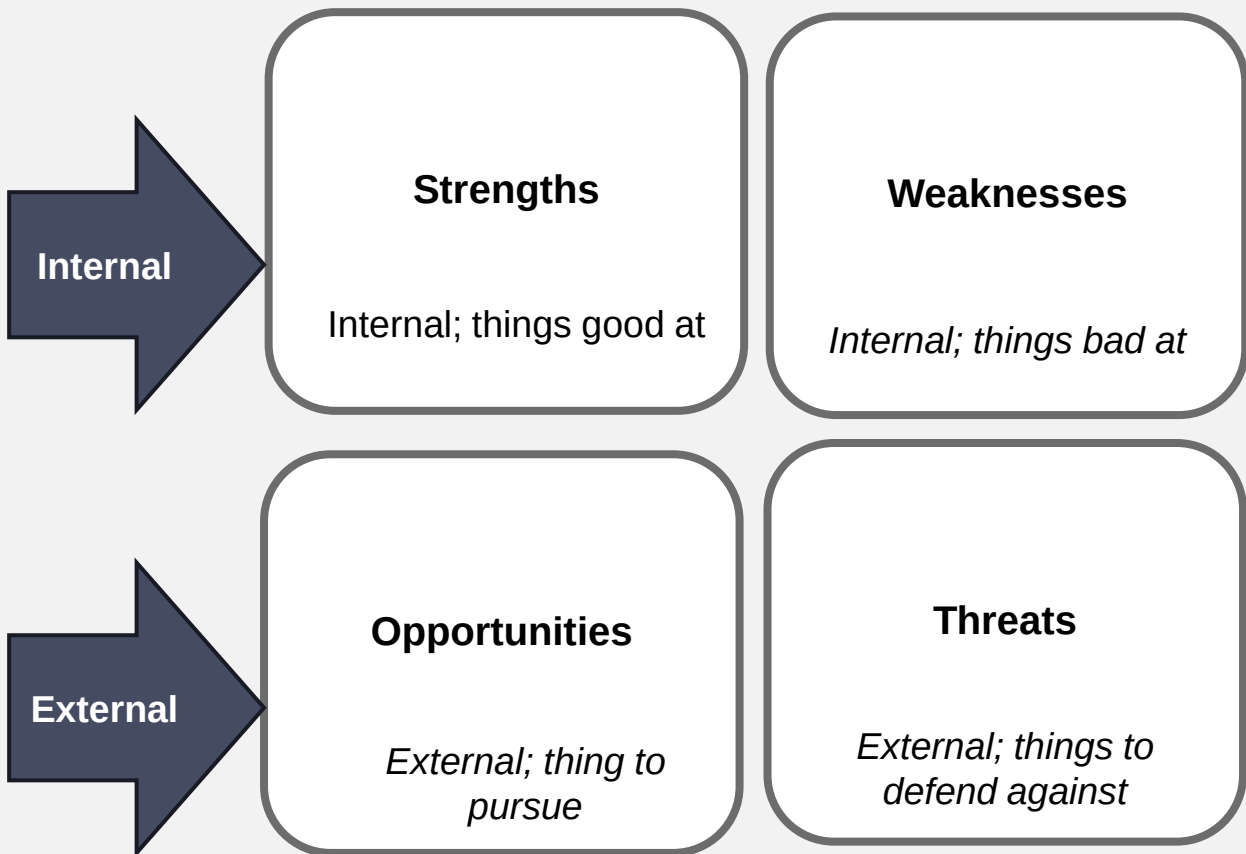
Scenario Planning Matrix



Capability vs Opportunity Analysis

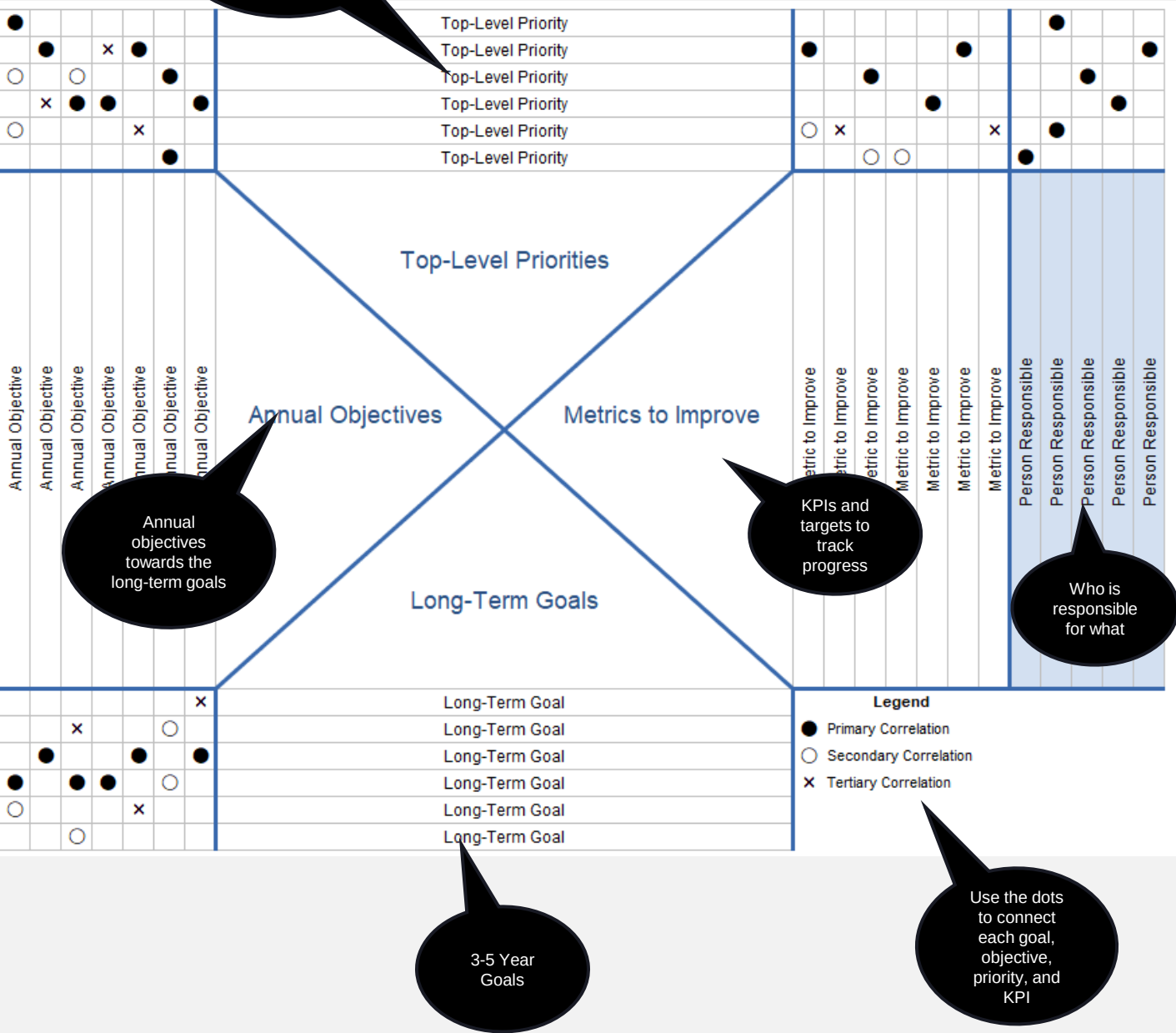


SWOT Analysis

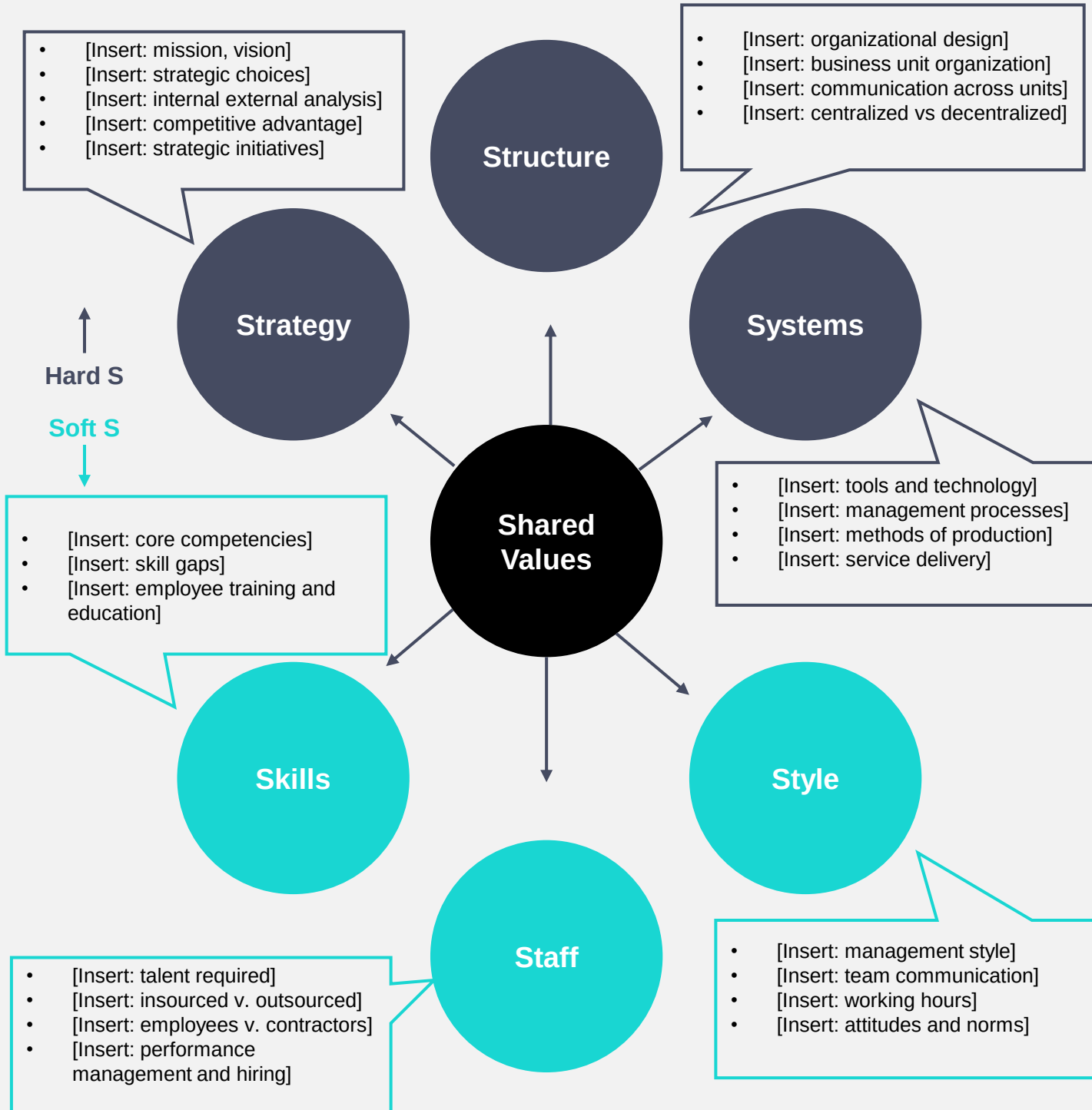


Purpose: To evaluate internal factors (strengths and weaknesses) and external factors (opportunities and threats) that impact the business

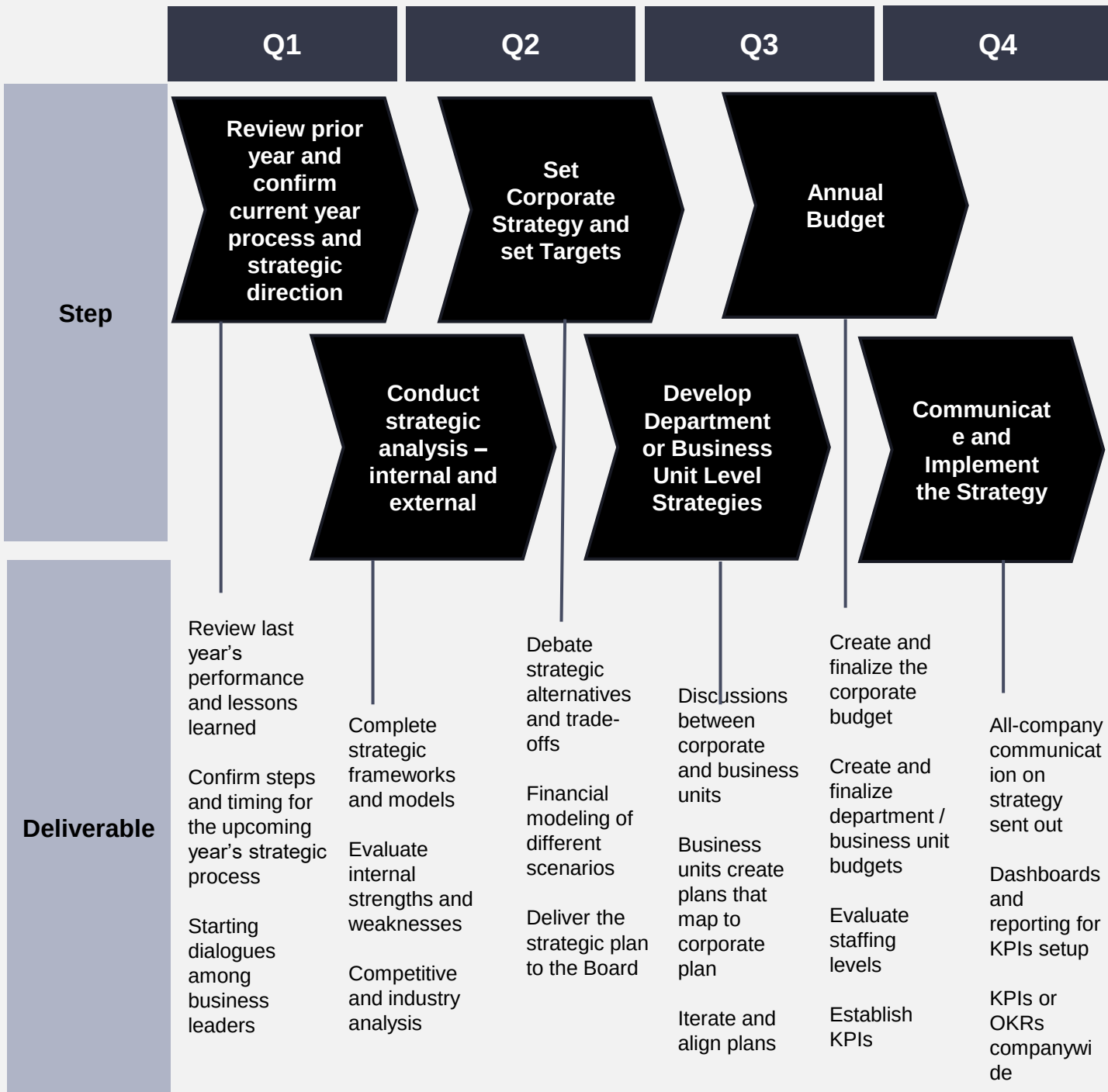
X Matrix



McKinsey 7-S Framework



Strategic Planning Calendar



Risk Matrix

Catastrophic

Threatening company's existence

5

Severe

Significant damage to business

4

Material

Meaningful impact to the business

3

Moderate

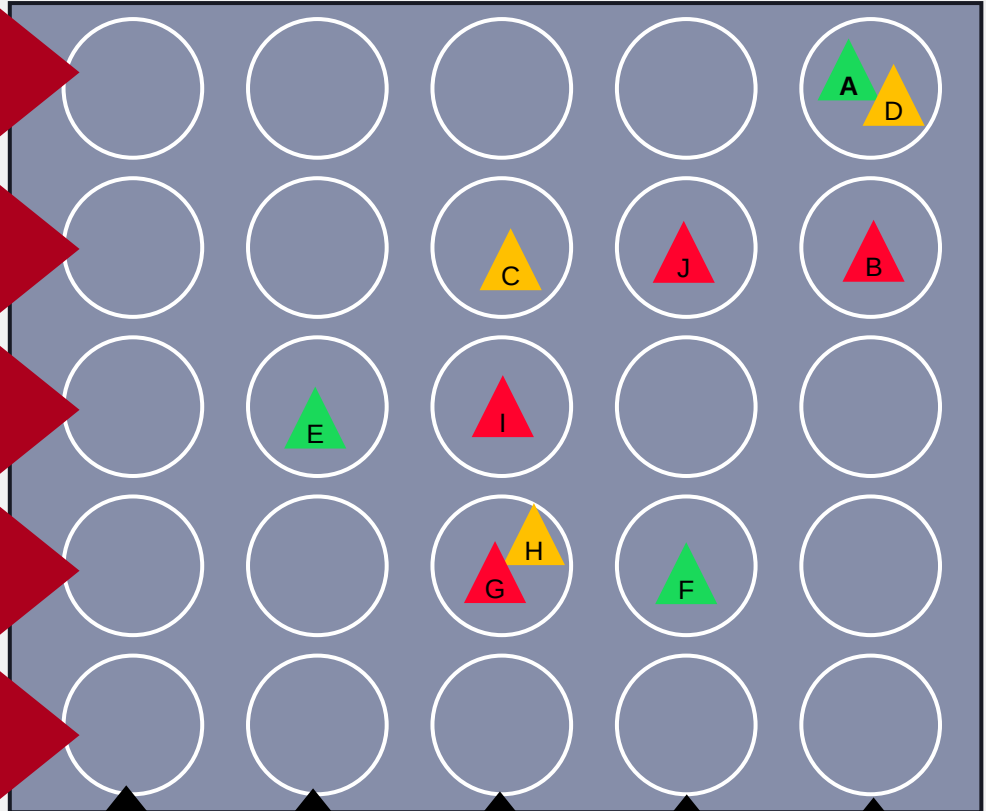
Some impact to the business

2

Minor

Minimal impact to the business

1



1

2

3

4

5

Remote
<10%

Low
10-20%

Medium
20-50%

High
50-80%

Extreme
>80%

Legend

Mitigation



High – Regular action to address risk



Medium – Occasional action to address risk



Low – Little/no action to address risk

A – [Risk Name]

F – [Risk Name]

B – [Risk Name]

G – [Risk Name]

C – [Risk Name]

H – [Risk Name]

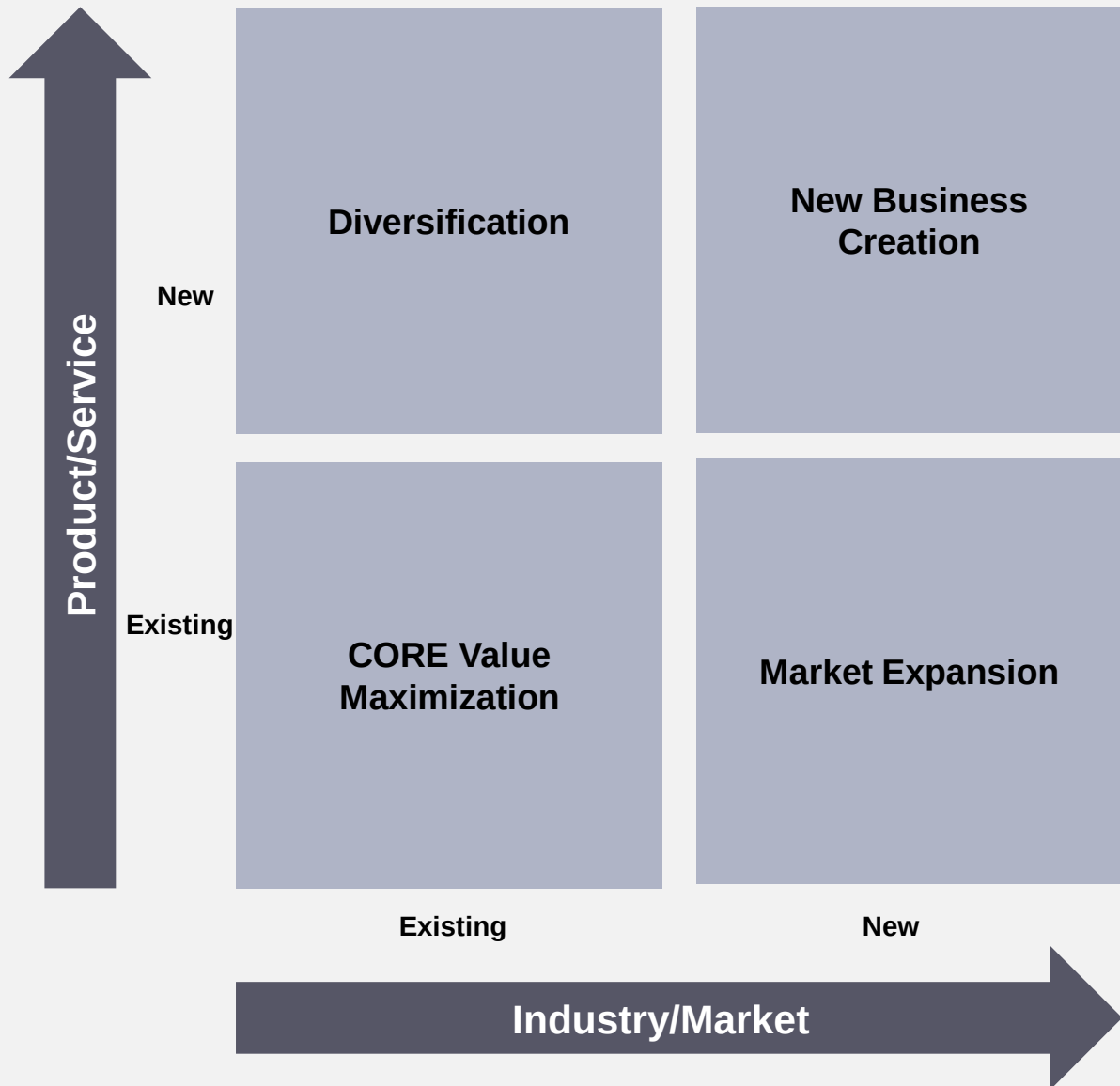
D – [Risk Name]

I – [Risk Name]

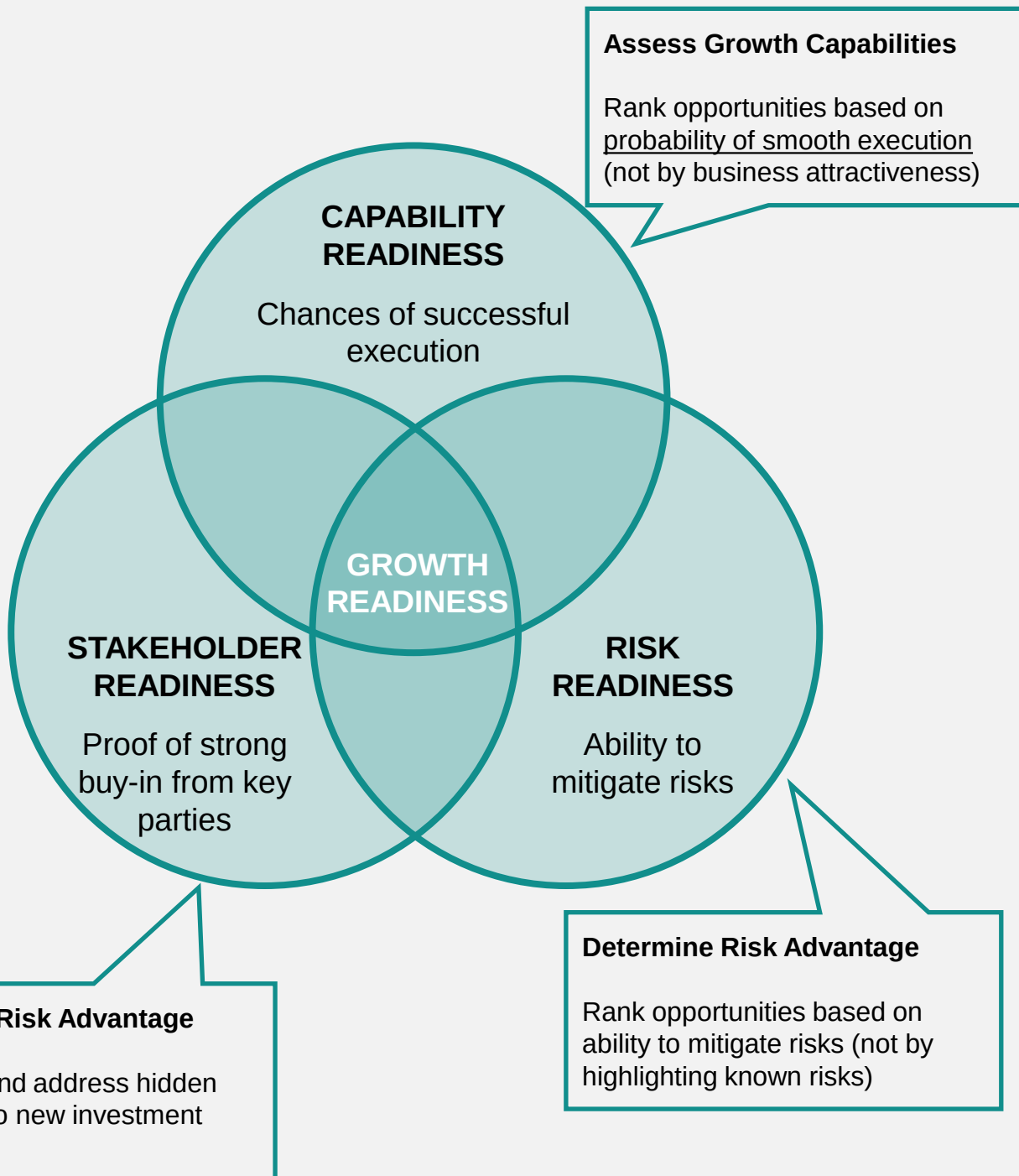
E – [Risk Name]

J – [Risk Name]

Ansoff's Matrix



Growth Readiness Framework



Corporate Strategy Process



Activities	External Assess macro-environmental trends, industry fundamentals, and stakeholder analysis Internal Conduct internal performance evaluations. Portfolio reviews and financial modeling.	Conduct strategy workshops to define key goals and set targets.	Develop plans, allocate resources, prioritize initiatives, and set budgets.	Present strategies and budgets to top management, the CEO, and the Board for final approval.	Execute approved strategies and provide regular feedback to the Board.
	Research, screening, benchmarking, and industry data.	Fact-based research, strategic policies, and expert forums.	Strategic goals and planning guidelines from the previous phase.	Detailed strategic plans, budgets, and implementation frameworks.	Approved strategies, budgets, and implementation plans.
Outputs	A comprehensive board deck and financial models summarizing key findings.	Defined strategic aspirations, objectives, and guidelines for planning.	A structured implementation strategy and finalized budgets.	Finalized strategy and budget approvals.	Reports on performance and corrective measures, if needed.
Team	The office of the CEO with support from finance, corporate development, and strategy	Office of CEO, along with corporate consultants and top leadership.	Office of CEO, consultants in collaboration with senior executives.	Board members, executives, and CEO, supported by corporate strategy teams.	Office of CEO, overseeing execution, supported by top executives.

“Change” vs. “Run” the Business

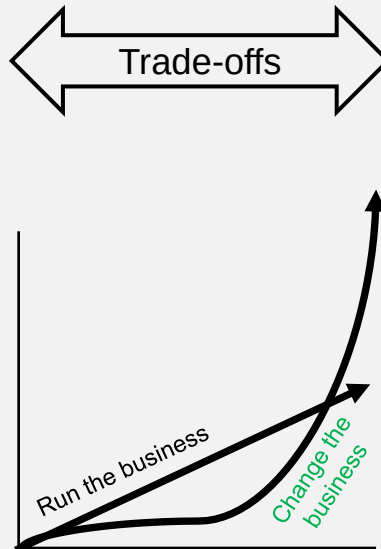
“Change” the Business

Approach

- ❖ New vision
- ❖ Continual strategy development
- ❖ Timing driven by strategic issues, not by a calendar
- ❖ New capabilities required
- ❖ Use of strategy development frameworks

Deliverables

- ❖ Strategic insights
- ❖ Strategic plan
- ❖ Capabilities build up



“Run” the Business

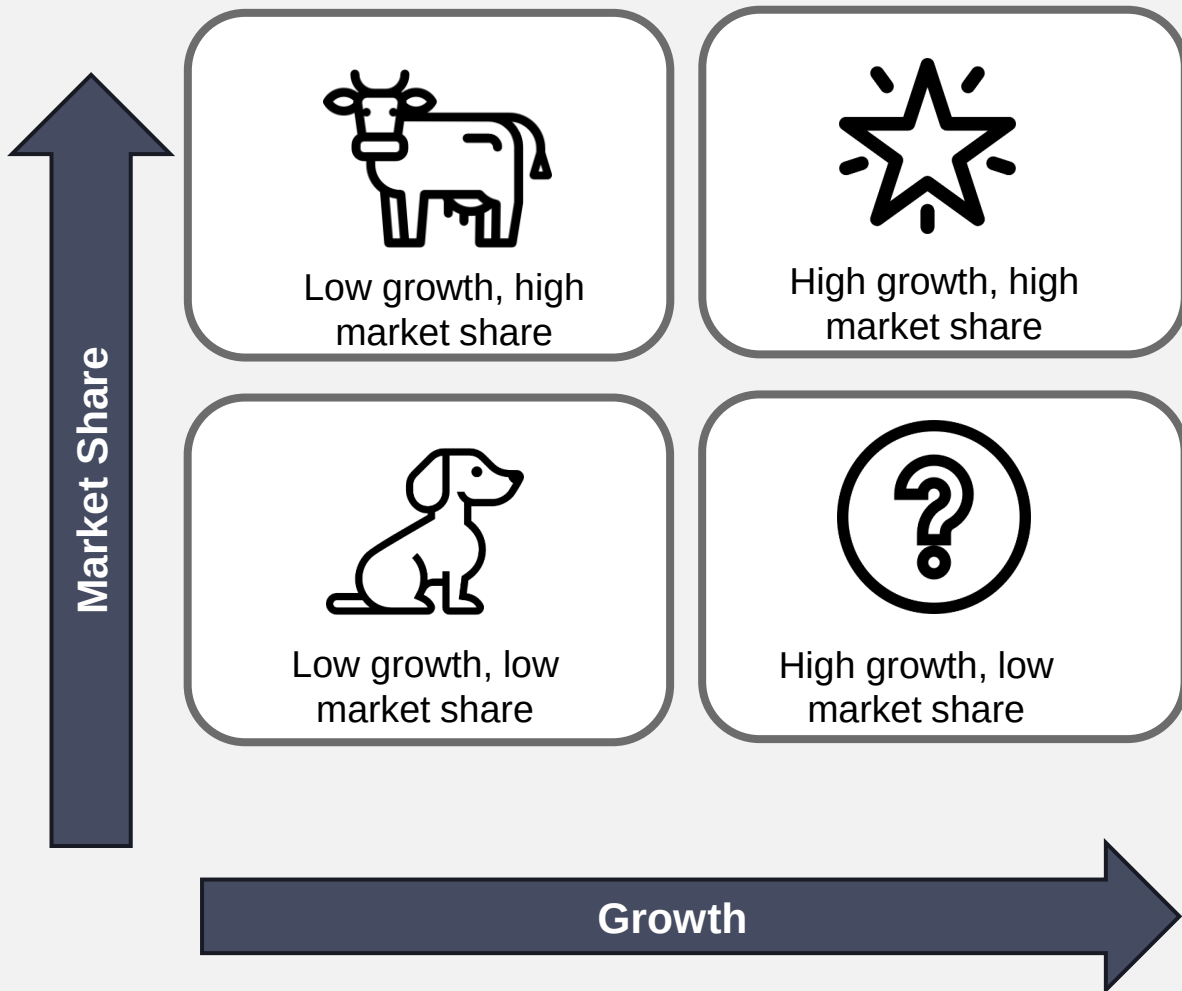
Approach

- ❖ Simplified, lower risk
- ❖ Based on existing vision and strategy
- ❖ Existing processes
- ❖ Timing is calendar driven
- ❖ Set trajectory
- ❖ Incremental improvements
- ❖ Operational efficiency

Deliverables

- ❖ Updated annual plan
- ❖ 5-year forecast financials

BCG Growth-Share Matrix



Purpose: To evaluate the comparative strength of different products or business units

Red Ocean vs. Blue Ocean



Capitalizing on well known tactics in an established market

Red Ocean:

- ☐ Proven/existing demand
- ☐ High competition
- ☐ Focus on outperformance
- ☐ Existing and observable strategies can easily be adopted
- ☐ Focus on marginal improvement
- ☐ Lower risk (market exists)
- ☐ Focus on market share
- ☐ Competitive pricing
- ☐ Present and short term oriented



Innovating to create a new market with little to no competition

Blue Ocean:

- ☐ Speculative/unknown demand
- ☐ No competition (yet)
- ☐ Focus on innovation
- ☐ Develop new products and services
- ☐ Creating and capturing new value for customers
- ☐ Focus on R&D
- ☐ High risk / high reward
- ☐ Future and growth oriented

GE-McKinsey Nine-Box Matrix



Purpose: To rank and evaluate investments in different business units, products or markets

McKinsey Seven Degrees of Freedom for Growth

1

Existing Customers

2

New Customers

3

New Products/Services

4

New Value Delivery Approaches

5

New Markets & Geographies

6

Partnerships, Mergers & Acquisitions

7

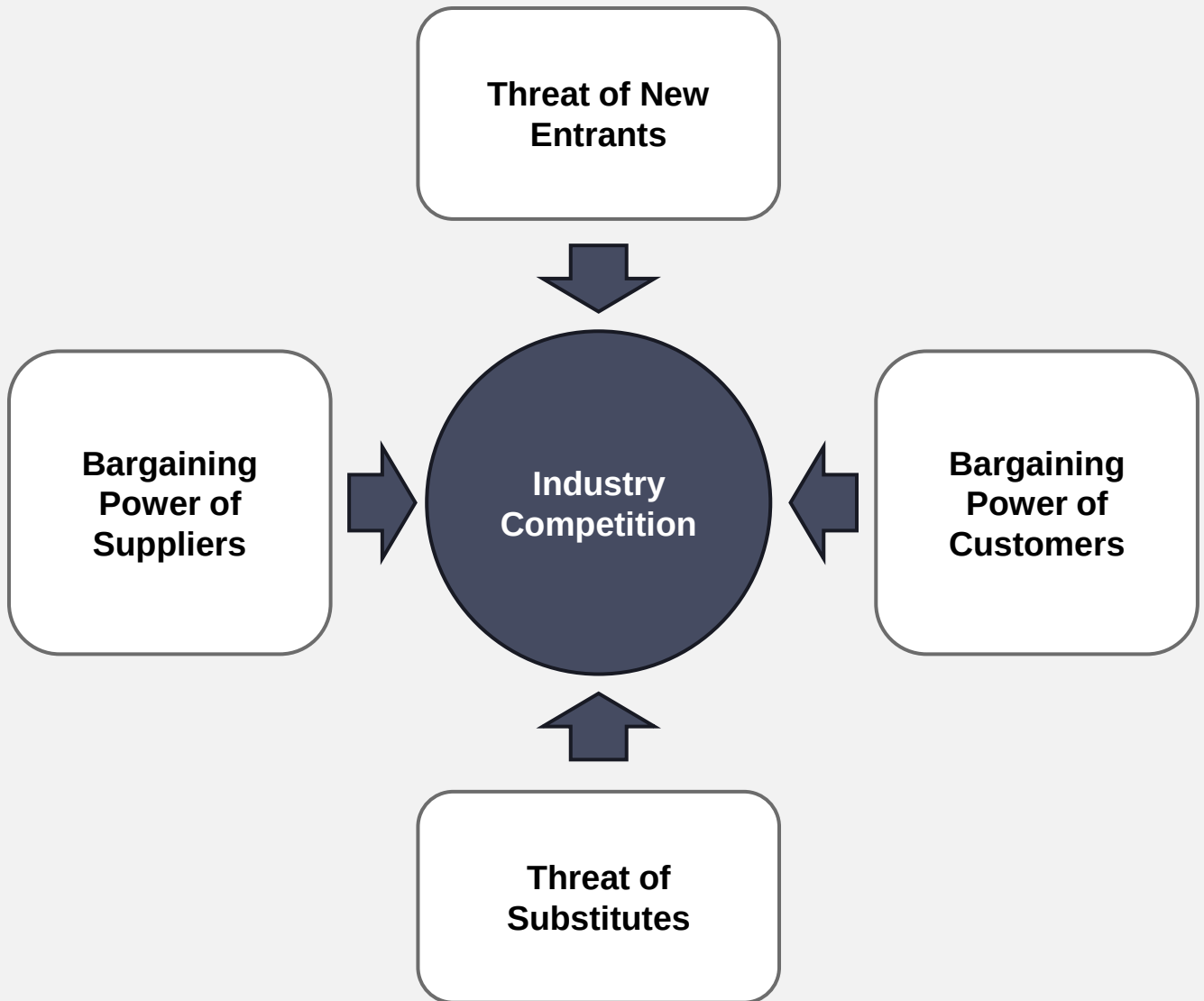
New Competitive Arenas and Industries

HOW TO USE

- ✓ Identify where your business currently stands to determine which degrees of freedom you should focus on first
- ✓ Analyze the market to determine which growth opportunities are available
- ✓ Prioritize your initiatives by potential impact, risk, etc
- ✓ Develop an action plan including steps, timelines, and metrics for measuring success

NOTE: The seven degrees of freedom are not mutually exclusive, and companies can use most of them to achieve growth.

Porter's Five Forces



Purpose: To analyze performance gaps and look at where you are currently vs where you want to go

The 9-Pillar Strategy Pyramid

"The pillars build sequentially on one another, creating an integrated and transparent framework"

Alignment and Execution

Mission

Why we exist

Values

What matters to us

Vision

What do we want to be

Strategic Intent

How we will get there

Drivers

What we focus on

Enablers

What frameworks, skills, people we need

Targets & Initiatives

What we need to achieve

KPIs

What performance indicators we need to measure

Strategy Map

How we test and communicate the strategy

Purpose



Strategy



Execution



The Strategy Pyramid was originally designed by Wendy McGuinness and the McGuinness Institute.

-Tim Vipond